Colombia’s public finances, 2022-2026, and the “Ley de Rescate Económico”

Cut-off date: 2026-11-03
Coverage: Central National Government (GNC)
Status of the bill: filed on 2026-10-29; **not law** (first debate pending)
Full report (Spanish): `2026-11-03-finanzas-publicas-colombia-ley-rescate.es.md`

Summary

- **The fiscal deterioration is real and structural.** The central government deficit moved from 5.3% of GDP in 2022 to 6.7% in 2024, 6.4% in 2025 and an official 7.2% projection for 2026 (7.8% according to the CARF). For 2027, without measures, the government projects 9.4% of GDP (9.5% CARF), the highest in recent history. Net debt is about 60% of GDP and would reach 66.2%-67.4% in 2027, close to the 71% fiscal-rule ceiling (MHCP, 2026a; CARF, 2026a).
- **The 2023 consolidation was cyclical, not structural.** The deficit fell to 4.2% of GDP and net debt to 53.4% on the back of exceptional revenue (high oil prices, inflation and the 2022 tax reform). Once revenue normalised, the deficit returned to 6.7% in 2024. The primary balance stayed negative every year: -1.0% (2022), -0.3% (2023), -2.4% (2024), -3.5% (2025) and -3.3% (2026) (MHCP, 2024; CARF, 2026a).
- **Interest and rigid spending are the binding constraints.** Interest rose from 3.9% of GDP in 2023 to 4.4% in 2024 and is projected at 4.9% in 2027 (COP 104.7 trillion), about one third of tax revenue. The 2027 budget allocates COP 147.1 trillion to debt service (23.2% of the total), more than the COP 94.6 trillion for public investment (MHCP, 2026a; Congreso de la República, 2026).
- **The “Ley de Rescate” is quantitatively relevant but back-loaded.** It targets a 2.2%-2.4% of GDP adjustment in 2027 and 4.1%-4.7% by 2030. In 2027, however, 87% of the effect comes from spending cuts (2.04% of GDP) and only 0.32% from revenue; the new VAT, personal income tax and health contributions start in 2028. The critical year depends almost entirely on the hardest part to execute (MHCP, 2026b).
- **It is a tax shift, not only an adjustment.** The bill cuts the corporate rate from 35% to 33% (2027) and 31% (2028), softens the wealth tax (threshold 95,500 UVT, rates 0.5%/1.0%, until 2030) and broadens VAT to everyday goods (coffee, sugar, pasta, chocolate, fruit and vegetables, internet for low-income households, low-end computers and phones) from 2028. EfectIVA, a cash VAT refund for about 35 million people, is meant to offset the impact. Progressivity is conditional on that refund working (MHCP, 2026b; La República, 2026c).
- **The package stabilises debt; it does not reduce it.** The official scenario with the bill keeps net debt around 64.2% of GDP through 2030, above the 55% anchor and seven points below the 71% ceiling. The government itself concedes the package is “barely enough” to stabilise debt. It is a first step of a multi-year consolidation, not a rescue that restores prudent debt levels (MHCP, 2026b; CARF, 2026a).

- **The main risk is political and credibility-related.** The government holds 63 of 90 seats in the economic committees (70%), but not committed votes: the Centro Democrático and parts of the coalition reject the VAT and health-contribution increases. The legislative term ends on 2026-12-16 and four debates are required. If the tax chapter is diluted and spending execution falls short, the 2027 deficit would remain near 8%-9% and a market-driven, more regressive adjustment would follow (Orza, 2026; El Espectador, 2026a).
- **Unfunded liabilities sit outside the bill.** The 2026-08-10 earthquake caused COP 30 trillion in direct damage, later revised to COP 54 trillion in reconstruction costs (2.6% of GDP), and triggered an emergency decree still under Constitutional Court review. Health-sector arrears are about COP 27.8 trillion (60.5% overdue), with an actuarial UPC shortfall estimated at COP 33.4 trillion. These compete for the same fiscal space (Presidencia de la República de Colombia, 2026; Infobae, 2026; Portafolio, 2025).
- **Bottom line.** The diagnosis is broadly right and the direction of the bill is reasonable, but the programme is back-loaded, distributionally conditional and politically fragile. A more credible path would front-load feasible spending measures, phase the tax changes realistically, commit to verifiable EfectIVA coverage, and set a multi-year primary-balance and debt path with independent monitoring. Without that, Colombia risks a forced adjustment that is larger and more regressive than the one now on the table.

Key figures

Indicator	Latest	Source
GNC deficit 2026	7.2% of GDP (official) / 7.8% (CARF)	MHCP; CARF
GNC primary balance 2026	-3.3% / -3.9%	MHCP; CARF
GNC net debt 2026	59.7% / 60.2%	MHCP; CARF
GNC deficit 2027, no measures	9.4% / 9.5%	MHCP; CARF
GNC net debt 2027	66.2% / 67.4%	MHCP; CARF
Interest 2027	4.9% of GDP (COP 104.7 tn)	MHCP
Gross financing needs 2027	COP 266.3 tn	MHCP
GDP growth 2026 / 2027	2.5% / 1.8%	MHCP; CARF
Inflation (Sep-2026)	6.29%	DANE
Policy rate (Sep-2026)	12.25%	Banco de la República
Unemployment (Sep-2026)	8.0%	DANE
Monetary poverty 2025	28.0% (extreme 9.6%)	DANE

Figures are official data, official projections or CARF estimates as labelled. The bill is not law; its fiscal effects are official estimates from the explanatory memorandum, not independent scores.

References

Citations follow APA 7th edition. Retrieval date for web sources: 2026-11-03.

Banco de la República. (2026). Informe de la Junta Directiva al Congreso de la República: octubre de 2026. Retrieved November 3, 2026, from https://www.banrep.gov.co/sites/default/files/publicaciones/archivos/resumen-infografico-congreso-octubre-2026.pdf

Comité Autónomo de la Regla Fiscal. (2026a). Informe al Congreso de la República: septiembre de 2026. Retrieved November 3, 2026, from https://www.carf.gov.co

Congreso de la República de Colombia. (2026). Ley de Presupuesto General de la Nación 2027. Retrieved November 3, 2026, from https://www.elpais.com.co/economia/congreso-aprobo-el-presupuesto-general-de-la-nacion-2027-por-6349-billones-2052.html

Departamento Administrativo Nacional de Estadística. (2026a). Producto Interno Bruto: IV trimestre de 2025 [Press release]. Retrieved November 3, 2026, from https://www.dane.gov.co/files/operaciones/PIB/cp-PIB-IVtrim2025.pdf

Departamento Administrativo Nacional de Estadística. (2026b). Gran Encuesta Integrada de Hogares: septiembre de 2026. Retrieved November 3, 2026, from https://www.dane.gov.co/index.php/estadisticas-por-tema/mercado-laboral/empleo-y-desempleo

Departamento Administrativo Nacional de Estadística. (2026c). Pobreza monetaria 2025 [Press release]. Retrieved November 3, 2026, from https://www.dane.gov.co/files/operaciones/PM/cp-PM-2025.pdf

El Espectador. (2026a, October 31). Se divide oficialismo por proyecto de rescate fiscal: ¿cómo está el ambiente en el Congreso? Retrieved November 3, 2026, from https://www.elespectador.com/politica/se-divide-oficialismo-por-proyecto-de-rescate-fiscal-como-esta-el-ambiente-en-el-congreso/

Infobae. (2026, October 30). Deuda hospitalaria llegó a $27,8 billones en Colombia y el 60,5% está en mora. Retrieved November 3, 2026, from https://www.infobae.com/colombia/2026/10/30/deuda-hospitalaria-llego-a-278-billones-en-colombia-y-el-605-esta-en-mora-estas-son-las-eps-con-mayores-obligaciones-vencidas/

La República. (2026c, November 1). El mecanismo EfectIVA de la Ley de Rescate beneficiaría a 30% de la población más pobre. Retrieved November 3, 2026, from https://www.larepublica.co/economia/el-mecanismo-efectiva-de-la-ley-de-rescate-beneficiaria-a-30-de-la-poblacion-mas-pobre-4515993

Ministerio de Hacienda y Crédito Público. (2024). Cierre fiscal GNC 2024. Retrieved November 3, 2026, from https://www.minhacienda.gov.co/documents/d/portal/cierre-fiscal-gnc-2024

Ministerio de Hacienda y Crédito Público. (2026a). Actualización del Plan Financiero 2026-2027. Retrieved November 3, 2026, from https://www.valoraanalitik.com/gobierno-recorta-proyecciones-de-crecimiento-anticipa-mayor-inflacion-y-expone-un-deterioro-fiscal/

Ministerio de Hacienda y Crédito Público. (2026b). Proyecto de Ley 477 de 2026: Ley de Rescate Económico. Congreso de la República de Colombia. Retrieved November 3, 2026, from https://www.camara.gov.co/wp-content/uploads/2026/10/proyectos-ley/documentos/proyecto-36548/PROYECTO-DE-LEY-Rescate-Economico-2026-VSD-RADICADA-1.pdf

Orza Relacionamiento Estratégico. (2026, October 30). Ley de rescate fiscal: Informe #1. Retrieved November 3, 2026, from https://orza.com.co/wp-content/uploads/2026/10/10.30.2026-Ley-de-rescate-fiscal_-Informe-1.pdf

Portafolio. (2025, September 24). Déficit de $33,4 billones en el sistema de salud por rezagos en la UPC, según Acemi. Retrieved November 3, 2026, from https://www.portafolio.co/economia/gobierno/deficit-de-33-4-billones-en-el-sistema-de-salud-por-rezagos-en-la-upc-segun-acemi-640652

Presidencia de la República de Colombia. (2026, August 17). Reconstrucción de los daños que dejó el terremoto del 10 de agosto costarán más de $30 billones. Retrieved November 3, 2026, from https://www.presidencia.gov.co/prensa/Paginas/Reconstruccion-de-los-danos-que-dejo-el-terremoto-del-10-de-agosto-costaran-260817.aspx